

downward and bottoms broke out upward, changing the trend from up to down (island tops) and down to up (island bottoms).

Average rise or decline. The best performance came from upward breakouts in bull markets and downward breakouts in bear markets, so trade this pattern with the prevailing market trend. Going against the market is like trying to cross a six-lane highway on foot: It is possible but dangerous.

Table 45.2 General Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Number found	1,166	182	975	181
Reversal (R), continuation (C) occurrence	100% R	100% R	100% R	100% R
Average rise or decline	31%	20%	−13%	−22%
Standard & Poor's 500 change	12%	2%	−3%	−9%
Days to ultimate high or low	196	46	47	36
How many change trend?	39%	32%	21%	48%

Standard & Poor's 500 change. From the breakout of the island to the ultimate high or low, the S&P ranged from a 12% climb to a 9% drop. Notice how the numbers track the average rise or decline. I mean that the largest rise associates with a large general market gain, and the largest decline (bear market, down breakout) associates with the biggest decline in the S&P. This connection suggests you should trade with the prevailing market trend. Go long in bull markets and short in bear ones.